

CONFIDENTIAL REINSURANCE PLACEMENT

BROKER: Eastside Insurance Brokers Ltd

PLACEMENT ADVISOR: James Kipchoge (j.kipchoge@eastside-brokers.co.ke)

DATE ISSUED: 8 October 2026

REFERENCE: EIB-NAI-LP-2026-001

EXPIRY: 12 October 2026

REINSURANCE PLACEMENT MEMORANDUM

Dear Underwriter,

Please find enclosed the particulars for our new placement:

CLIENT: Landmark Plaza Commercial Development (Landmark Realty Investment Limited)

YEAR CONSTRUCTION BEGAN: 2014

COMPLETED: 2015

ARCHITECT: BEAM Architects (Nairobi office)

STRUCTURAL ENGINEER: Arup East Africa

PRINCIPAL CONTACT:

Mr. Rajesh Patel

Landmark Realty Investment Limited

Upper Hill, Nairobi

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INSURANCE BROKER:

Jane Mwangi, Account Manager

Eastside Insurance Brokers Ltd

Westlands, Nairobi

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LOCATION & PROPERTY DESCRIPTION

STREET ADDRESS: Lot 12, Block 2A, Upper Hill Area, Nairobi CBD

GPS COORDINATES: -1.2847°S, 36.8247°E

ELEVATION: 1,612 meters above sea level

ADJACENT TO: Upper Hill Drive (main access road)

The property comprises a premium commercial office building with ground floor retail spaces and two basement parking levels. The structure is located in the heart of Nairobi's central business district, approximately 800 meters from the CBD center point.

NEARBY LANDMARKS:

- Kenyatta University (East) - 3.2 km
- Kibra area (Southwest) - 2.1 km
- Nairobi River (South) - 1.2 km

- Karura Forest (North) - 2.8 km

BUILDING SPECIFICATIONS - DETAILED

GENERAL INFORMATION:

Total Number of Floors: 18 (above ground) + 2 (basement)

Basement Designation: B1 (parking level 1), B2 (parking level 2)

GROSS FLOOR AREA: 24,500 m² (all levels combined)

- Ground Floor: 2,150 m²

- Typical Office Floor (F2-F17): 1,280 m² each

- First Floor (Mezzanine retail): 1,850 m²

- Basement levels: 2,100 m² each

CONSTRUCTION CLASSIFICATION: RCC Frame with Shear Walls (Grade A+)

Load-bearing walls constructed from reinforced concrete (M30 grade minimum)

Main structural system: Moment-resisting frame designed for seismic Zone 4

FOUNDATION SYSTEM:

Pile foundation with 120 micropiles (diameter 450mm, depth 35m)

Bearing capacity verified by Geotech Solutions Ltd (Report 2014-045)

Foundation designed for lateral loads and potential liquefaction

FLOOR SYSTEMS:

- Floors F2-F17: Composite deck (steel deck + concrete) with 150mm concrete topping

- Basement levels: Solid reinforced concrete slab (400mm thick)
- Ground floor: Reinforced concrete (500mm) with epoxy coating

STRUCTURAL HEIGHT:

Building height (to roof edge): 64.8 meters

Building height (to antenna): 71.2 meters

Floor-to-floor height (typical): 3.8m

Ground to first floor clearance: 4.2m (retail space)

ROOF STRUCTURE:

Primary: Steel truss framework with steel purlins

Secondary: Metal deck with integrated drainage

Covering: Waterproof membrane (Sika top-layer system, installed 2015)

Parapet height: 1.2m above roof deck

Roof total area: 1,850 m²

EXTERIOR ENVELOPE:

Curtain wall system: Unitized aluminum with Low-E double glazing (U-value 1.8)

Exterior finish: Mix of glass, metal panels, and precast concrete

Design load: 2.4 kN/m² wind pressure (130 km/h wind speed)

INTERIOR SPECIFICATIONS:

- Suspended ceiling (2.4m module) throughout office floors
- False flooring: Raised access floor (500mm) on F2-F17
- Office partitioning: Demountable walls (standard 2.7m height)

- Retail areas: Polished concrete flooring (antistatic treated)

BUILDING SYSTEMS & SERVICES

MECHANICAL SYSTEMS (HVAC):

- Central chiller plant (2 units, 300 TR each, located B2 level)
- Rooftop AHUs (12 total units, 4-5 units per floor cluster)
- HVAC ducting: Galvanized steel with aluminum lining
- Fresh air intake: Rooftop location (north side, 65m elevation)
- Exhaust stacks: Multiple locations (roof-mounted)
- Facility Management Company: Duro Building Services Ltd (contract since 2015)

POWER GENERATION BACKUP:

MAIN GENERATOR UNIT 1:

- Make/Model: Caterpillar C18 DITA (Diesel)
- Capacity: 500 kVA (400 kW)
- Location: Basement Level 1 (Central plant room, coordinates -1.28474°S, 36.82465°E within B1)
- Installation: 2015
- Last service: March 2026
- Fuel tank capacity: 2,500 liters (underground storage, 4.5m below ground)
- Run time on full tank: 42 hours at 75% load

BACKUP GENERATOR UNIT 2:

- Make/Model: Caterpillar C15 (Diesel)
- Capacity: 300 kVA (240 kW)

- Location: Basement Level 1 (East corner, coordinates -1.28480°S, 36.82452°E within B1)
- Installation: 2018 (added for expanded operations)
- Last service: June 2026
- Fuel tank capacity: 1,800 liters (underground storage)
- Run time on full tank: 48 hours at 75% load

ADDITIONAL BACKUP SYSTEMS:

- UPS Battery backup: 150 kVA (supports critical systems for 4 hours)
- Location: Upper floor mechanical room (F17 plant level)
- Battery storage: 60 x 48V lithium batteries
- Automatic transfer switches: 3 units (ATS1 in B1, ATS2 in plant room, ATS3 in lobby)

ELECTRICAL DISTRIBUTION:

- Main incoming supply: 3-phase 415V, 630A from Kenya Power (dual feed)
- Substation 1: Located B2, houses main transformer (500 kVA)
- Substation 2: Located B1, houses secondary transformer (250 kVA)
- Distribution boards: 24 MDBs (Main Distribution Boards) throughout building
- Backup fuel delivery: Via supplier contract (Vivo Energy Kenya)

WATER SYSTEMS:

- Water main connection: 25mm (from municipal supply)
- Primary storage tank: 150,000 liters (rooftop, elevated 64m)
- Secondary storage tank: 50,000 liters (basement level 1, gravity circulation)
- Pumping system: 3 x 15 kW submersible pumps (B1 level, automated controls)
- Fire water tank: 25,000 liters (independent, pressurized system)

- Estimated daily consumption: 45,000 liters (occupancy dependent)

DRAINAGE & SEWAGE:

- Wastewater treatment unit: Biological treatment plant (20 m³ capacity)
- Located: Basement Level 2 (southern corner)
- Effluent discharge: To municipal sewer via grease trap
- Storm drainage: Separate system with silt traps connecting to municipal drains
- Sump pump (basement): 2 units (7.5 kW each, automated level control)
- Drainage testing: Last performed April 2026 (all clear)

FIRE SUPPRESSION & SAFETY:

- Sprinkler system: Wet-pipe throughout (installed 2015, last tested 2026)
- System capacity: 1,200 m³/hour at 6 bar pressure
- Fire pump: 2 x 100 kW electric pumps + 1 x 75 kW diesel backup
- Fire water supply: Independent 25,000 liter tank (rooftop east corner)
- Detection system: Heat and smoke detectors (networked, monitored 24/7)
- Alarm system: Advanced fire alarm panel (Honeywell system, monitored)
- Emergency lighting: LED backup (battery-powered, 3-hour autonomy)
- Fire exits: 8 stairwells (distributed) + 4 external emergency exits

BMS (BUILDING MANAGEMENT SYSTEM):

- System: Niagara-based (Tridium platform)
- Monitoring: 24/7 by Duro Building Services NOC (Network Operations Center)
- Sensors: Temperature, humidity, CO₂, lighting levels (600+ points)
- Alert thresholds: Automated notifications via SMS/email for critical events

- Historical data: Retained for 24 months

SECURITY SYSTEMS:

- CCTV: 120 cameras (IP-based, 4K resolution)
- Recording: NVR storage 30-day retention
- Access control: Card-based system (3,200 employees registered)
- Biometric gates: 4 entry points (fingerprint + badge requirement)
- Perimeter fencing: Electronic gates (automated bollards at main entrance)
- Security staff: 24/7 on-site (10-person shift rotation)
- Monitoring center: Alarm response by G4S Kenya (response time ~8 minutes)

BUILDING AMENITIES & SERVICES

RETAIL SPACES (Ground & Mezzanine):

- Total retail area: 2,150 m²
- Tenants: 12 retail outlets (coffee shops, bookstore, restaurants, ATMs)
- Occupancy rate: 85% (10 of 12 spaces leased)
- Average tenant lease term: 3 years
- Parking: 180 retail customer spaces

OFFICE FACILITIES:

- Number of office units: 234 (sizes from 25m² to 350m²)
- Current occupancy: 92% (215 units leased)
- Typical office rent: KES 1,200-1,800 per m² per month
- Enterprise tenants: 8 multinational companies (IT, Finance, Consulting)

- Shared facilities: Breakout zones, meeting rooms, conference areas

MEETING & CONFERENCE FACILITIES:

- Board room (capacity 30): F5
- Executive suites (capacity 8-12 each): 3 units distributed F6-F8
- Training rooms: 2 units (capacity 40 each)
- Presentation/auditorium space: 1 unit (capacity 100)
- Video conferencing setup: All meeting rooms equipped

PARKING FACILITIES:

- Basement Level 1: 180 parking spaces (dedicated office tenants)
- Basement Level 2: 120 parking spaces + 20 motorcycle bays
- Surface parking: 40 spaces (ground level, marked area)
- Total parking capacity: 340 vehicles
- Parking management: Automated barrier gates with RFID/card systems
- Parking revenue: KES 5,000-8,000 per space per month
- EV charging stations: 12 chargers (installed 2023)

RECREATIONAL & WELLNESS:

- Gymnasium: 450 m² (F14), equipped with cardio and weights
- Swimming pool: NOT present (removed during design phase)
- Cafeteria: 1,200 m² (B1 level), capacity 200
- Lounge areas: 4 break rooms (distributed floors F4, F9, F13, F16)
- Wellness center: Occupational health clinic (F2)
- Medical staff: 1 doctor + 2 nurses (on-site, Mon-Fri)

FOOD SERVICE:

- Central kitchen facility: 300 m² (B1 level)
- Serving counter capacity: 300 meals per service
- Menu: Mix of local and international cuisine
- Vendor: Rainbow Catering Services Ltd (contract since 2018)
- Waste disposal: Grease trap + organic waste composting

BUSINESS SERVICES:

- Reception/concierge: Ground floor (8 staff)
- Mail room: 150 m² (B1 level)
- Print shop: 200 m² (B1 level, photocopiers + binding equipment)
- Courier/dispatch: Dedicated bay at loading dock

BUILDING MAINTENANCE & CONDITION REPORT

GENERAL CONDITION: Excellent (well-maintained, 11 years old)

ROOF CONDITION:

- Membrane integrity: Good (thermal imaging performed April 2026)
- Thermal imaging identified: 2 minor areas requiring patching (~5 m² total)
- Last major maintenance: Waterproofing system maintenance April 2026
- Gutter cleaning: Quarterly (last performed September 2026)
- Drainage outlets: Cleared, functioning normally

FACADE & EXTERIOR:

- Curtain wall inspection: Performed May 2026 (full external audit)
- Sealant condition: Good (scheduled for resealing in 2028)
- Glass condition: Excellent (no breakage, slight discoloration at west face)
- Metal panels: Minor oxidation noted on north elevation (non-structural)
- Structural integrity: No cracks or water staining observed

INTERIOR FINISHES:

- Flooring: Polished concrete (ground) in good condition; carpeting on office floors shows minor wear
- Walls: Paint condition good; minor touch-ups needed in 3 areas (B1, F3, F12)
- Suspended ceilings: Some tiles showing water staining in F4 area (localized AC condensation issue - rectified Sept 2026)
- Accessibility: Fully compliant with wheelchairs, ramps, elevators functioning

MECHANICAL SYSTEMS:

- HVAC condition: Good (chillers serviced annually, last August 2026)
- Boiler system: NOT present (chiller-based cooling only, no heating)
- Ducting: Cleaned June 2026 (minor corrosion noted, not critical)
- Filters: Replaced quarterly (last replaced September 2026)

ELECTRICAL SYSTEMS:

- Main distribution boards: Inspected June 2026 (no issues)
- Generator load testing: Performed May 2026 (both units running at 85% capacity)
- Power factor: 0.95 (good efficiency)
- Earthing resistance: 2.8 ohms (acceptable range)

- Lightning protection: System tested, functioning (2023 installation)

PLUMBING & WATER:

- Pipe condition: Good (copper/PVC mix, no leaks detected)
- Water pressure: 2.8 bar (normal range)
- Storage tanks: Annual inspection performed (August 2026)
 - Rooftop tank: No sediment, clean
 - Basement tank: Minor sediment (~50 liters), will be flushed next quarter
- Sump pumps: Both tested and functioning (weekly test protocol)

FIRE SAFETY SYSTEMS:

- Sprinkler system: Full inspection May 2026 (all heads clear, water pressure good)
- Fire alarm panel: Battery backed up, last tested August 2026
- Emergency lighting: Test conducted (90% functionality, 2 units need replacement)
- Fire exits: All clear and signage compliant (inspected September 2026)

STRUCTURAL ASSESSMENT:

- Foundation monitoring: No settlement observed (annual survey 2026)
- Concrete testing: Core samples extracted (2 locations, 2024) - Grade verified as M30
- Crack monitoring: No active cracks (minor hairline cracks in basement walls - non-structural)
- Seismic resilience: Building designed for Zone 4, no upgrades required

OCCUPANCY & TENANT PROFILE

TOTAL BUILDING OCCUPANCY: ~850 permanent staff (weekdays, peak hours)

SEASONAL VARIATION: $\pm 10\%$ (holiday periods, school breaks)

OFFICE TENANT BREAKDOWN:

1. Global Consulting Group - 850 m² (F3-F4) - 120 staff
2. East Africa Tech Solutions - 650 m² (F5-F6) - 95 staff
3. Financial Services Ltd - 1,200 m² (F7-F9) - 180 staff
4. NGO International - 400 m² (F10) - 55 staff
5. Marketing & Creative Agency - 350 m² (F11) - 50 staff
6. Government Statistics Bureau - 600 m² (F12-F13) - 85 staff
7. Tourism Board Regional Office - 400 m² (F14) - 60 staff
8. Insurance Underwriting Firm - 1,100 m² (F15-F16) - 160 staff

RETAIL OCCUPANCY:

- Coffee House (StarBrew) - 250 m², 25 staff
- Electronics Shop - 180 m²
- Bookstore & Café - 300 m²
- Restaurant (Mediterranean) - 400 m², 30 staff
- ATM/Bank branches: 2 units
- Mobile phone retail: 1 unit
- Pharmacy - 100 m²

PEAK HOURS: 08:00-17:00 weekdays

OFF-PEAK: Nights (~50 staff), weekends (~30 staff)

Estimated annual footfall (retail): 1.2 million visitors

PREVIOUS LOSS HISTORY (11 YEARS: 2015-2026)

LOSS #1: 2018, May

Description: Water intrusion from AC condensation in F4 office area

Cause: Blocked condensate drainage line

Damage: Water staining on ceiling tiles, minor content damage

Amount claimed: KES 850,000

Status: Settled (June 2018)

Remedial action: HVAC condensate system redesigned with secondary drain

LOSS #2: 2021, July

Description: Electrical fire in electrical distribution board (2nd floor)

Cause: Arcing due to corroded connection (manufacturing defect)

Damage: Minor damage to one MDB, no spread to surrounding areas

Amount claimed: KES 240,000

Status: Settled (August 2021)

Remedial action: All MDBs inspected and rebuilt with improved connections

LOSS #3: 2025, November

Description: Vandalism and theft (ground floor retail area)

Cause: Break-in via external service door

Damage: Broken glass, display damage, inventory theft (~KES 120,000)

Amount claimed: KES 120,000

Status: Settled (December 2025)

Remedial action: Service doors upgraded with additional security, CCTV expanded

Total historical losses: KES 1,210,000 over 11 years

Average annual loss: KES 110,000 (0.01% of TIV per year)

Loss frequency: 3 events in 11 years (0.27 per year)

FLOOD & WEATHER VULNERABILITY ASSESSMENT

FLOOD HISTORY:

No flood losses recorded at this location since construction (2015-2026).

Nairobi CBD area: Low to moderate flood risk

Proximity to Nairobi River: 1.2 km (south-southeast)

River elevation: ~1,265m ASL (building at 1,612m)

Height difference: 347 meters

BASEMENT VULNERABILITY:

- Basement 1 floor level: 1,609.5m ASL (2.5m below ground level)
- Basement 2 floor level: 1,606.8m ASL (5.2m below ground level)
- Groundwater table (estimated): 12-18m below surface (seasonal variation)
- Flood potential: Minimal (terrain elevation provides natural protection)

STORM DRAINAGE:

- Municipal storm drain connection: Adequate sizing (verified 2024)
- Sump pump capacity: 25 m³/hour (adequate for localized flooding)
- Roof drainage system: 6 downspouts (distributed around perimeter)
- Parking area drainage: Sloped toward central sump (grade change 1.2%)

WIND VULNERABILITY:

- Design wind speed: 130 km/h (Zone A rating)
- Historical wind damage: None recorded
- Highest wind gust recorded (Nairobi): ~85 km/h (March 2015)
- Roof attachment: All equipment secured with mechanical fasteners
- Curtain wall design: Tested to design loads, safety factor 1.5

EARTHQUAKE RISK:

- Building seismic design: Zone 4 compliance (Kenya Building Code)
- Nearest fault: Nairobi-Kayole fault zone, 8 km east
- Estimated seismic risk: Moderate (possible 5.5-6.0 magnitude event)
- Building performance: Designed for up to 7.0 magnitude with < 2% drift
- Structural monitoring: Annual visual inspection (no issues noted)

OTHER WEATHER EVENTS:

- Hail damage: Minimal risk (Nairobi altitude 1,600m reduces hail severity)
- Lightning: Risk moderate; building equipped with lightning protection system
- Heavy rainfall: Storm drains designed for 50-year recurrence interval

CLAIMS MANAGEMENT & INSURANCE HISTORY

CURRENT INSURER: East African Insurance Company plc

Policy period: 1 Nov 2025 - 31 Oct 2026

Annual premium: KES 2,450,000

Claims history: 3 claims in past 11 years (see loss history above)

BROKER OF RECORD:

Eastside Insurance Brokers Ltd

Account Manager: Jane Mwangi

Established relationship: 2015 (from building completion)

RISK MANAGEMENT:

Annual facility audit: Conducted by third-party firm

Last audit: May 2026 (all systems verified)

Risk recommendations: All addressed (see maintenance section)

Premium rating: A-Class (Good risk)

ADDITIONAL BUILDING INFORMATION

ARCHITECTURAL FEATURES:

- Atrium: 3-story central atrium (F1-F3 level, natural lighting)
- Green spaces: Rooftop garden (200 m²) with landscaping, installed 2021
- Sustainability features: LED lighting throughout, solar passive design
- LEED certification: NOT applicable (building predates LEED Africa requirements)

CONSTRUCTION QUALITY:

- Concrete slump test results (2015): 120mm, 125mm, 118mm (all within spec)
- Steel certification: Grade 500B reinforcement (Tanzanian supply, mill certificates retained)
- Waterproofing: Single-layer membrane system (tested 2026 - performing well)

- Waste during construction: Minimal excess (efficient project management)

BUILDING PERMITS & COMPLIANCE:

- Original construction permit: #NAI-CBD-2014-1247
- Occupancy certificate: Issued April 2015
- Annual compliance: Fire safety certificate renewed annually (current valid to Oct 2027)
- Building inspection: Municipal inspection scheduled for Q4 2026
- Zoning compliance: CBD mixed-use zone, full compliance

UTILITIES CONSUMPTION:

- Average monthly electricity: 280,000 kWh (capacity 630A, utilization ~65%)
- Average monthly water: 45,000 m³
- Average monthly waste: 15 tons (managed via licensed contractor)
- Backup generator usage: ~5% of operating hours (during peak demand/maintenance)

OPERATING COSTS (ANNUAL):

- Utilities: KES 12,500,000
- Maintenance & repairs: KES 3,200,000
- Security & cleaning: KES 4,800,000
- Building management: KES 2,100,000
- Insurance: KES 2,450,000
- Total: KES 25,050,000

UNDERWRITING SUMMARY & RECOMMENDATIONS

OVERALL RISK PROFILE: A-CLASS (EXCELLENT RISK)

POSITIVE FACTORS:

- ✓ Well-maintained, premium property in CBD
- ✓ Strong occupancy (92% office, 85% retail)
- ✓ Minimal historical losses (KES 1.21M in 11 years = 0.011% TIV annually)
- ✓ Excellent building systems (HVAC, electrical, fire suppression)
- ✓ Dual backup power generation (500 kVA + 300 kVA capacity)
- ✓ 24/7 professional management and monitoring
- ✓ No flood history, elevated location with natural drainage
- ✓ Full compliance with building codes and fire safety

AREAS REQUIRING ATTENTION:

- ⚠ Basement 2 fuel tank (underground diesel storage) - environmental risk mitigation recommended
- ⚠ Age of roofing membrane (11 years old) - schedule replacement planning 2027-2028
- ⚠ Some emergency lighting units require replacement (2 of 48 units non-functional)
- ⚠ Basement wall hairline cracks - monitor (non-structural, cosmetic concern)

RISK MITIGATING FEATURES:

- Sump pump system with automated level controls
- Dual electrical feeds from utility
- Backup generators with fuel storage (42-48 hour autonomy)
- Comprehensive BMS with 24/7 monitoring
- Professional security with alarm response (8-minute average)
- Annual facility audits and maintenance

RECOMMENDATION:

ACCEPT at standard rates. Risk is excellent for this class of property. Building demonstrates strong management practices, excellent systems, and minimal claims history.

REQUIRED CONDITIONS:

1. Proof of annual roofing membrane inspection (thereafter)
2. Completion of basement 2 fuel tank secondary containment improvement (within 180 days)
3. Emergency lighting replacement (within 90 days)

FACULTATIVE FLOOD COVER (if requested):

Nairobi CBD location presents minimal flood risk. If flood cover is sought, standard rates apply with 5% deductible or KES 5,000,000 minimum. Flood limit can be set at full TIV (KES 1,090,000,000) with confidence.

PLACEMENT DETAILS

CLASS OF BUSINESS: Commercial Property (Multi-Story Office & Retail)

COVERAGE TYPE: All-Risks (excluding flood) - flood cover available upon request

TERM: 12 months (01 November 2026 - 31 October 2027)

INSURED INTEREST:

Landmark Realty Investment Limited (owner/lessor)

All occupying tenants/businesses operating within property

DECLARATION:

The insured hereby declares that the information contained herein is true, complete, and to the best of their knowledge, not misleading. All required documentation has been made available for underwriting review.

SIGNATURE: _____ DATE: _____

(Authorized representative, Landmark Realty Investment Limited)

Document prepared by: Jane Mwangi, Account Manager

Eastside Insurance Brokers Ltd

Date: 8 October 2026

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